

WIDENING ABYSS

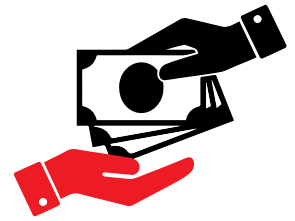
India's current account deficit (CAD), a key indicator of its balance of payments, has widened to \$23.9 billion in Q1FY23, which is 2.8 per cent of the GDP, from \$13.4 billion in Q1FY22. The deficit is being driven by a rising trade deficit, which has widened to \$124.5 billion in the first five months of FY23, from \$54 billion in the corresponding period last year. The country's trade deficit was pegged at \$189.5 billion, or 1.2 per cent of GDP in FY22. However, experts say that CAD is expected to remain within 3 per of the GDP in FY23.

—RAJAT MISHRA

ON THE BURN

Adding to inflationary pressures in the economy, natural gas prices were raised for the third time since April 2019, by a record 40 per cent, after the government-dictated rates were revised on October 1. Prompted by the firming up of the commodity's prices in global markets, the move will make CNG—used as automobile fuel and piped cooking gas—dearer. Indian automakers had already revised the production targets for CNG vehicles downwards in anticipation of a hike.

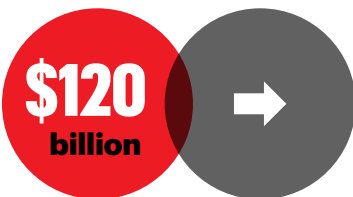
—MANISH PANT



TO THE RESCUE

As the flow of global capital into Indian venture capital funds dries up, the Fund of Funds for Start-ups (FFS) launched in 2016 is helping mobilise domestic capital for the Indian start-up ecosystem. FFS has committed ₹7,385 crore to 88 Alternative Investment Funds (AIFs) as on September 24, 2022, the government said. These AIFs in turn have invested ₹11,206 crore in 720 start-ups. The amount committed under FFS is growing at a CAGR of 21 per cent since launch, and FFS-supported AIFs have a target corpus of ₹48,000 crore.

—BINU PAUL



INDIA'S ELECTRONICS EXPORTS ARE EXPECTED TO REACH \$120 BILLION BY 2025-26 WITH THE STATE GOVERNMENTS PARTNERING WITH THE GOVERNMENT OF INDIA, UNION MINISTER RAJEEV CHANDRASEKHAR HAS SAID

Innovative Nation



FOR THE FIRST time, India has made it into the top 40 countries on the Global Innovation Index (GII). The country has jumped 41 places in seven years to rank 40 in 2022, led by improvements in exports of information and communication technology (ICT) services, value of venture capital (VC) received and finance for start-ups. Per the report, India continues to lead the world in ICT services exports while holding high ranks in indices such as VC value (6), finance for start-ups and scale-ups (8), percentage of graduates in science and engineering (11), and labour productivity growth (12), among others.

—PRINCE TYAGI



LAUNCHPAD MALFUNCTION

Recessionary fears in the US seem to be sending shockwaves across the IT sector in India as fresh hires have been complaining of delays in their onboarding by all leading IT majors. IT employee association NITES has even filed a complaint with the labour ministry against Wipro over this. This is in sharp contrast to last year, when companies were in a bidding war to get as many freshers as possible.

—VIDYA S.